

rational, and true only to long-term objectives when the short-term results become frustrating, but to quote Aldous Huxley again, "the only completely consistent people are the dead." Unmanaged, indexed portfolios will assuredly turn out to be client-managed portfolios, that is, the client will decide he can do better, or in the case of the collapse of stocks, that only cash will do.

MPT AND RISK

One of the problems that MPT addresses is that of defining risk. The quantification of risk has been eluding investors for generations. The definition of risk was never fully formalized even though investors understood that it really meant the possibility of a permanent loss of value in a stock or portfolio in either nominal or real terms. Risk exists because businesses can go bad and/or because investors can pay too much for a specifically or generally assumed future.

The use of historical variability leads to the odd conclusion that stocks are riskier today at the 850 Dow Jones level than they were at 1050 . . .

The concept of investment quality was used (and is still used by many investors) as a proxy for risk. It is an obviously inadequate proxy, because it deals only with the riskiness of a company's business or its finances, which in turn may be linked only weakly with the riskiness of the stock.

Largely because it is easily quantifiable now that we have computers, the riskiness of a stock has become defined as relative price volatility, most of which is associated with the volatility of the market, the remainder being associated